

AUSTRIA

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1. Overview of the system

Austria's unemployment insurance benefits are related to previous earnings subject to a maximum of 55 per cent of the net-earnings level and are paid for up to one year. UI assistance benefits also based on previous net income in work may then be paid. A means-tested minimum income scheme provides a safety net for all inhabitants. Furthermore, most family benefits are universal. The tax unit is the individual.

1.1. Average worker wage (AW)

The 2014 AW earnings level is EUR 42 573 ¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2009-2010, OECD, 2011, part 4, sections 2 and 3.

2. Unemployment benefit

2.1 Conditions for receipt

2.1.1 Employment conditions

To qualify, workers must have worked at least one out of the last two years.

2.1.2 Contribution conditions

Unemployment insurance is compulsory for dependent workers but only up from a monthly earning of **EUR 395.31** (*Geringfügigkeitsgrenze*). UI is not for civil servants. Self-employed can insure themselves voluntarily. To qualify for UI benefits, workers need to have contributed 52 weeks in the last 24 months. Only 28 weeks suffice in case of repeated spells of unemployment.

2.2 Calculation of benefit amount

2.2.1 Calculation of benefit

Benefits are defined as a percentage of after tax income: 55 per cent of the average net reference income over a year (which is called the basic amount). If the unemployment benefit including a possible family supplement (*Familienzuschlag*) for the maintenance of dependants falls short of the equalisation supplement reference rate for a single person (*Ausgleichszulagenrichtsatz*, see 3.2.1) then a supplement (*Ergänzungsbetrag*) is granted. In this case total benefits may not exceed 60 per cent of reference income and 80 per cent for benefit recipients with dependants, respectively. For benefit recipients who qualify for the *Ergänzungsbetrag*, total unemployment benefit after *Ergänzungsbetrag* and family supplements may not exceed the equalisation supplement reference rate (*Ausgleichszulagenrichtsatz*).

Maximum monthly earnings for the purpose of calculating the maximum benefit amount are **EUR 4,200** which result in a maximum benefit of **EUR 48.02** (without possible family supplements) per day. Note that the cap of the contribution-base to the UI-fund is at **EUR 4,530**. The daily benefit is increased by EUR 0.97 per dependent (family supplement). For the purposes of this publication, “net income” is defined as gross earnings minus social security contributions, minus income tax and minus work-related expenses.

2.2.2 Income and earnings disregards

The basic benefit is not affected by the beneficiary’s own work related earnings as long as they do not exceed **EUR 395,31** per month. Earnings from work above this level generally results in the total loss of all benefit entitlements.

If the recipient has a work contract which lasts not more than 27 days with an earning more than **EUR 395,31**, benefits are withdrawn completely during the period of work and, additionally, benefits for days not worked in that month will be reduced according to a specific rule. In some cases (such where the benefits are not very high and/or earnings are rather high) this reduction can, however, result in a complete withdrawal.

Income from other sources (rent, interest etc.) does not affect UI benefit.

2.3 Tax treatment of benefit

Benefits are tax-free.

2.4 *Benefit duration*

Benefit is payable 7 days per week immediately upon entry in unemployment, without a waiting period. The total duration is 20 weeks. Extensions of benefits depend on the employment record and age-related ceilings:

- 30 weeks after 156 weeks of work .
- For recipients aged 40 and above: 39 weeks after 312 weeks of work in 10 years.
- For recipients aged 50 and above: 52 weeks after 468 weeks of work in the last 15 years.

The benefit duration can be increased up to 156 weeks or up to 209 weeks for workers participating in specific labour market policy activities (employment foundations – *Arbeitsstiftungen*).

Since January 1st 2011, the duration of unemployment benefit may be extended up to a maximum of 78 weeks, after having absolved measures of rehabilitation (*“Maßnahmen der beruflichen Rehabilitation”*). This permanent measure of extension primarily aims at long-time unemployed and elderly workers and follows the principle of “rehabilitation before and instead of pension”.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

For persons under 25, a 26-week employment record in the last 12 months is sufficient to qualify for their first UI benefit.

2.5.2 *Older workers*

See 2.4 above.

3. Unemployment assistance (Notstandshilfe)

3.1 Conditions for receipt

The benefit is only payable after exhaustion of UI benefits and if the person is in need. Unemployment assistance is means-tested against incomes of recipients and their spouses.

3.1.1 Employment conditions

None.

3.1.2 Contribution conditions

To qualify, workers must have already received UI benefits.

3.2 Calculation of benefit amount

3.2.1 Calculation of benefit

The benefit amounts to 92 per cent of the previous *basic* UI benefit or 95 per cent of the previous *basic* UI benefit plus 95 per cent of the supplement (*Ergänzungsbetrag*) for low income groups, *i.e.*, persons whose *total* unemployment insurance benefits were less than **EUR 857.73** per month (this amount is the standard value for the equalisation supplement reference rate, the so called *Ausgleichszulagenrichtsatz*). Family supplements as described in section 2.2.1 above are paid on top of that.

Model Specific comment: In calculating Unemployment Assistance, monthly net income is required. Due to annualisation in the Tax-benefit model, a proxy gross income of 12/14ths of the full gross income (including bonuses) is used to calculate this net income. This is due to different taxation rules applying to months 13 and 14.

3.2.2 Income and earnings disregards

Benefit is not affected by other income or earnings of the spouse not exceeding **EUR 624** per month. This exemption limit is raised by **EUR 271** for each child. The threshold for the reduction of the benefit is **EUR 1,220** (plus **EUR 147** for each of the first three children and **EUR 122** for each further child). Any net income of the spouse above that amount reduces unemployment assistance.

The benefit is not affected by the beneficiary's own work related income as long as this income does not exceed **EUR 395,31** per month; earnings from work above this level generally results in the total loss of all benefit entitlements. If the recipient works not more than 27 days UI benefit for days not worked is reduced (see also 2.2.2.).

Income from other sources (rent, interest etc.) affects UI assistance.

3.3 Tax treatment of benefit

Benefits are tax-free.

3.4 Benefit duration

52 weeks upon granting; the benefit may be extended for 52 weeks repeatedly as long as recipients qualify and until old-age pension entitlements accrue.

3.5 *Treatment of particular groups*

3.5.1. *Young persons*

3.5.2 *Older workers*

Disregards concerning spouses' incomes are higher for older UA-recipients, but only if they have a longer contribution time. For recipients over the age of 50 the exemption limit is EUR **1,058** (and in addition **EUR 529** for each child), for recipients older than 55 it is **EUR 1,587** (additional **EUR 793.50** for each child).

4. Means-tested minimum income scheme

Two forms of minimum income provision benefits exist: general assistance (*means-tested minimum income*) and supplementary pension (*Ausgleichszulage*), the latter is only paid to age pensioners or other persons incapable of working and is, therefore, not considered here.

The means-tested minimum income scheme is a reform of the former social assistance. It provides the same minimum standard to eligible persons across the nine federal states.

4.1 Conditions for receipt

The means-tested minimum income is based on a subsidiary principle and, therefore, constitutes the last resort in social security. Persons are eligible only if they do not have adequate financial resources to support themselves and their dependents, respectively, through other resources (e.g., income, social insurance) or assets.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The means-tested minimum income scheme is due twelve times a year. It amounts to **EUR 813,99** for single persons and **EUR 1.220,99** for couples per month. These figures comprise a share of 25% for housing costs.

The modernized scheme aims to achieve more unification among the different social assistance regulations of the various federal states. The benefit levels must not be lower than the former social assistance benefit levels.

Monthly rates in EUR (2013)

Family type	Carinthia	Upper Austria	Vienna
Single person	814,00	888,10	813,99
Couple	1221,00	1251,40	1.220,98
Dependent child	146,52 (1 st to 3 rd born child) 122,10 (from the 4 th born child on)	204,30 (1 st to 3 rd born child) 184,00 (from the 4 th born child on)	219,78

Remarks: The rates include the benefits for housing (25%)
 (Exception: Dependent child Vienna).

Since January 2013, the heating supplement in Vienna has been reformed into the “energy support”. Recipients of minimum pensions and minimum income scheme qualify for this measure which covers heating subsidies, replacement of household appliances and energy consulting.

4.2.2 Income and earnings disregards

Entitlements depend on household resources rather than those of the individual or nuclear family. Officially other relatives have a duty under family law to provide financial support. The obligation under the social assistance law to pay back benefits later when income is received was abolished. In

this report, every income and moveable asset (with some exceptions) is considered in the means and income test apart from family benefits. Since the introduction of means-tested minimum income in Austria, there is a new “fixed tax allowance on assets” (app. EUR 4.069,95). Every asset over the fixed tax allowance on assets has to be used up before a benefit can be granted. Alimony payments from the absent parent are taken into account when calculating the entitlement to the means-tested minimum income.

If the household income is below the means-tested minimum income threshold irrespective of reason (low unemployment benefit, low wages) people concerned are entitled to a “top-up” means-tested minimum income.

4.3 *Tax treatment of benefit*

The benefit is not taxable.

4.4 *Benefit duration*

As long as the household is eligible.

4.5 *Treatment of particular groups*

Within the receipt of minimum income scheme benefits, recipients are supported by the public employment service AMS to enhance re-integration into the labour market via e.g. coachings and trainings.

4.5.1 *Young persons*

None.

4.5.2 *Older workers*

None.

5. Housing benefits

The costs can be covered partly by the means-tested minimum income and also by other schemes. Because the treatment of housing costs varies widely between federal states, Vienna is taken as an example.

Three forms of housing benefits exist in Vienna: “Mindestsicherung-**Mietbeihilfe**”, “**Wohnbeihilfe**” and “**Mietzinsbeihilfe**”(granted by the local tax office).

Means-tested minimum income recipients receive a basic subsidy for housing costs (25% of the applicable minimum standard) and in case of high housing costs an additional “Mietbeihilfe”. Its amount depends on the number of persons concerned. Persons with small pensions (e.g. persons receiving supplementary pensions) may also receive a “Mietbeihilfe”. The “Mietbeihilfe” is granted monthly to pensions/minimum income benefit recipients in Vienna, if the amount of the rent leads to a total income below a certain level.

“**Wohnbeihilfe**” (granted by the City of Vienna) depends on the type of housing, this means that there are differences according to housing in

- subsidised built houses
- subsidised renovated houses
- privately rented, non-subsidised built or renovated houses – called “**Allgemeine Wohnbeihilfe**”.

According to the OECD demand, only the “Allgemeine Wohnbeihilfe” is shown.

5.1 Conditions for receipt

“Mietbeihilfe”:

Austrian citizens and persons with equal status (persons with a refugee or subsidiary protection status, EU/EFTA citizens, third country nationals with a Permanent leave to remain, third country nationals with a Residence permit for permanent residence). To qualify, persons need to receive pension or minimum income scheme benefits.

“Wohnbeihilfe”:

- Only for persons with Austrian nationality, persons equal in law and foreigners with a legal stay in Austria for more than five years
- In addition, a net-income per month is required, at least
 - for one person EUR 813.99; for two persons EUR 1,220.44
 - per child EUR 125.59

No “Wohnbeihilfe” is paid to owners of houses and tenants with family relationships to lessors.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The amount depends on the rent per month, the household income per month, the number of the people living in the household and the size of the flat.

Maximum amount of "Mietbeihilfe" for people receiving the means-tested minimum income or pensions in Vienna

Monthly rates

Persons	Maximum amount in EUR
1 or 2	304.22
3 or 4	318.96
5 or 6	337.91
7 and more	355.80

If the housing costs are higher than the basic subsidy for housing costs (e.g. in case of a 1-Person household EUR 203.50 = 25% of the applicable minimum standard), the additional "Mietbeihilfe" will be EUR 100,72 (EUR 304.22 minus EUR 203.50). For persons with small pensions and older recipients of the means-tested minimum income ("*DauerleistungsbezieherInnen*") the basic subsidy for housing costs is quite smaller, so they can get a higher additional "Mietbeihilfe" (e.g. in case of a 1-Person household EUR 304.22 minus EUR 109.88 = EUR 194.34).

"Wohnbeihilfe":

The difference between "Anrechenbarer Wohnungsaufwand" (countable housing expenditure) and "Zumutbarer Wohnungsaufwand" (reasonable housing expenditure) is paid as "Wohnbeihilfe" (more details about the calculation of the "Allgemeine Wohnbeihilfe" see Annex A).

5.2.2 Income and earnings disregards

See section 4.2.2.

Social Assistance is not taken in to account as income for the means test for Housing Benefits.

5.3 Tax treatment of benefit

The benefit is not taxable.

5.4 Treatment of particular groups

The family income as basis of the "Zumutbarer Wohnungsaufwand" is reduced per 20% in favour of families in special situations:

- families with all members under the age of 40,
- families with one child under the age of six,
- families with a member that is handicapped at least 45 %,
- families with at least three children,
- families with a handicapped child and
- single parent families, not remarried or in a similar partnership.

6. Family benefits

6.1 Conditions for receipt

Family benefits are paid to all families with dependent children. For minor children there are no special requirements, children of full age must be students or in vocational training.

6.2 Calculation of benefit amount

The per capita amounts vary in accordance to age groups.

6.2.1 Calculation of gross benefit

The monthly family allowance for children under the age of 3 is EUR 109,70, it is EUR 117,30 from the age of 3 to the age of 10, it is EUR 136,20 to the age of 19 and EUR 158,90 per month for children older than 19.

For students and children in vocational training, family benefits can be paid until the age of 24 (in some exceptions until the age of 25).

The total amount of family allowance is dependent upon the number of children in the family for which family allowance is received. The family allowance received increases with every child. For example, if family allowance is received for two children, then the additional sum received amounts to € 6.70 per child; for five children the amount is € 30,80 per child; for seven and more children € 50 per child.

There is a further increase (*Mehrkindzuschlag*) (multiple child bonus) of EUR 20 per month for the third and each further child if the household taxable income is below the annual limit EUR 55,000 per year.

Every September an additional amount of EUR 100 is granted for children between 6 and 15 (*Schulstartgeld*).

Beside these family benefits families receive EUR 58.40 per month for each child as a negative tax, paid out with the family allowance. (Although the source for this benefit is the tax system, it can be seen as a social benefit, since all families – including families who pay no taxes – are entitled to it.).

6.2.2 Income and earnings disregards

Child benefits are not subject to any means test.

However, for children above the age of 19 who have an income above € 10,000, the amount of family allowance received is reduced successively. At an annual income of € 11.907,80 it is reduced to zero. For children with a severe disability, the amount at which this amount is reduced to zero is € 13.707,80 .

6.3 Tax treatment of benefit

Family benefits are not taxable.

6.4 Treatment of particular groups

Handicapped children entitle families to increased benefits (plus EUR 150per month).

7. Childcare for preschool children

Percentage of children in childcare centres (including day-care givers) 2012:

- 0-2 years: 25,1%
- 3-5 years: 92,8%
- 6-9 years: 17,2% (without schools)

Compulsory school-age is 6.

7.1 Out-of-pocket childcare fees paid by parents

To improve social, linguistic and cognitive skills of preschool-children, compulsory child-day-care was introduced for all children at the age of 5 in September 2010. Day-care is provided free of charge for at least 4 hours per day for children of this age throughout Austria. The criteria in detail are fixed by a treaty between the federal government and the federal states.

Additionally, child-care is provided free of charge in the different states (all-day-care for children 0 - 6 years in Vienna and Burgenland; all-day-care for children 2,5 - 6 years in Upper Austria, half-day-care for children 2,5 - 6 in Lower Austria, half-day-care for children 4 - 6 in Tyrol);

In other day-care facilities, parents fees depend on the family net income (which consists of both incomes, family allowance etc.), the number of cared for children, the number of siblings. The costs vary considerably because they are defined by private child-care-centres and municipalities. Childcare is subsidised by federal states and communities in order to decrease parent's fees.

Since 2009 the costs for qualified child care are deductible from the calculation basis for income tax up to the amount of EUR 2,300 per year for each child up to the age of ten years.

Since 2008, the expansion of childcare facilities – especially for children aged up to three years – was enhanced by funding by the Federal government. To this end, the federal government invested a total amount of EUR 85 million from 2008 to 2014. In 2014 it was decided to speed up the expansion of childcare facilities. Therefore, the Federal government is investing an amount of EUR 305 million from 2014 to 2017.

7.2 Childcare benefits

7.2.1 Conditions for receipt

Childcare allowance (*Kinderbetreuungsgeld* – KBG) is granted for children born from 1 January 2002.

- Childcare allowance is received by all mothers/fathers (also adoptive or foster parents), regardless of whether they were in employment before the birth (Exception: income related childcare allowance), and is thus also available to housewives, students etc. The condition for receipt of childcare allowance is entitlement to family allowance (*Familienbeihilfe*), the parent claiming has to live in the same household as the child, the examinations according to the mother-child pass programme have to be carried out and the ceiling of additional earnings (depending on the chosen option) may not be exceeded. Furthermore, parent and child must have their centre of interests (*Mittelpunkt der Lebensinteressen*) within the federal territory; nationals of third countries have to stay legally (*rechtmäßiger Aufenthalt*) in Austria.
- Childcare allowance cannot be claimed while there is entitlement to maternity allowance. However, if maternity allowance is lower than childcare allowance, there is an entitlement to a supplementary amount up to the level of childcare allowance.

- Childcare allowance is only paid for the youngest child.

Entitlement to child care allowance does not depend on the form of childcare parents choose.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

As of January 2010, claimants may choose between two schemes (offering a total of five options):

- Flat-rate childcare allowance (four options) recognizes and remunerates in part the commitment and work involved for parents in caring for small children. Parents may claim these flat-rate allowances irrespective of whether they were economically employed prior to the birth of the child.
- Income-related childcare allowance is primarily designed to give better earning parents – who want to withdraw from the labour market for a limited period of time only – the opportunity of receiving some compensation for the earnings foregone during that period.

Flat rate childcare allowance

As of 1 January 2010 there are four options for drawing flat-rate allowance.

- Option 30+6
- Option 20+4
- Option 15+3
- Option 12+2

Depending on the chosen option, one parent may claim childcare allowance till the 30th, 20th, 15th or 12th month of the child. If parents alternate drawing childcare allowance, these periods will be extended (+2 up to +6 months) in accordance with the option chosen. Any months not claimed by the other parent cannot be transferred to the claiming parent.

Eligibility is not subject to economic activity prior to the child's birth.

Income-related childcare allowance

Income-related childcare allowance may be claimed up to the 12th month of the child. If parents want to share the claim, the allowance may be claimed up to the 14th month of the child. Any months not claimed by the other parent cannot be transferred to the claiming parent.

Income-related childcare allowance amounts to 80% of maternity allowance paid in Austria or of fictitious maternity allowance (calculated on the basis of income earned in Austria). Additional calculations automatically performed by the social health insurance institution and based on the formal tax assessment of income last earned in Austria in the calendar year prior to the child's birth (in which no childcare allowance was claimed, but not further back than three years before the birth of the child) may result in an increase of the daily rate but not in a reduction of this rate (most favourable rate approach). The maximum is about EUR 2,000 per month.

Multiples' supplement/flat rate options:

In the case of multiple births, childcare allowance will be raised by a supplement of 50% of the chosen flat-rate option for every other (multiple) child born.

When receiving child care allowance, parents may take turns twice in each variant, with one period lasting for at least two months. It is not possible for both parents to claim child care allowance simultaneously, not even for siblings. In case of uncertainty, the parent who looks after the child more often has priority.

Payment of the child care allowance is linked to the medical examinations required under the mother-child pass scheme: For full entitlement to child care allowance over the entire period chosen, the prescribed mother-child pass examinations must be undergone at defined intervals and proven to the health insurance fund. Five examinations during pregnancy and five check-ups of the child are obligatory, the last one taking place around the child's first birthday.

The parent drawing childcare allowance is covered by health insurance for this period.

Assistance to single parents in the case of hardship

In special cases of hardship, the maximum period of benefit entitlement of one parent under the chosen option may be extended by another two months if

- the other parent is prevented by any specific event from sharing the common household and thus from claiming childcare allowance (death, committal to mental hospital or nursing home, cases of domestic violence identified by courts or public authorities, stay in women's refuge, imprisonment), or
- one parent has been single for at least four months at the time of the period extension, has filed an application for maintenance (alimony) and earns no more than EUR 1,200 net over a specific period of time (plus EUR 300 for every dependent person in the household).

7.2.2.2 Income and earnings disregards

Definition of income: The following income within the definition of the Income Tax Act (*Einkommensteuergesetz*) is taken into account for the calculation:

- Income from agriculture and forestry
- Income from independent personal services
- Income from commercial activities
- Income from employment

Under the flat rate scheme, parents may earn 60% of their prior income, at a minimum EUR 16,200 per calendar year.

Under the income-related allowance scheme, parents may only earn an additional EUR 6,400 per calendar year in question (which corresponds to the marginal earnings threshold). Also, they may not claim any unemployment insurance benefits.

7.2.3 Tax treatment of benefit and interaction with other benefits

Child care allowance is tax free.

Family allowance can be received at the same time; as well as unemployment insurance benefits, if income limit is not exceeded (exemption: income-related child care allowance); for further conditions see unemployment insurance benefits.

7.2.4 Treatment of particular groups

Births starting from 1/1/2010 (new regulations):

Reference date for all information is **July 1st 2014 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Under the flat rate scheme, lone parents and married couples (or partners) on low incomes may apply for a supplementary payment of child care allowance amounting to EUR 6.06 per day. During the period in which a supplementary payment is received, the person receiving child care allowance can earn up to EUR 6,400) per calendar year. Concerning married couples/partners there is an income limit for the partner as well: EUR 16,200.

8. Employment-conditional benefits

For persons who were registered unemployed for over 182 days and are either over 45 years old or returning to work from parental leave or have lessened work capability for health reasons, the in-work benefit (*Kombilohnbeihilfe*) offers an incentive to take up low-paid or part-time employment. Also, unemployed after occupational rehabilitation are eligible for this benefit.

The employment is required to exceed 30 working hours per week (for persons after occupational rehabilitation, the minimum is 20 working hours or, if individually agreed upon, less).

The amount of the benefit is individually calculated by raising the unemployment benefit or the unemployment assistance by 30%. If the earned income is below this amount, the Public Employment Service (AMS) will pay the difference. If the earned income is higher than 130% of the former payment of unemployment insurance benefits, no in-work-benefit is issued.

Note: The monthly unemployment benefit (12 times a year) is compared to the net income including Holiday and Christmas payments, i.e. 14/12 of yearly net earnings.

This measure is an instrument of active Labour Market Policy for unemployed with reduced chances of Labour Market inclusion aiming at the promotion of taking up work and is administrated by the Public Employment Service (AMS) on an individual basis. The allowance can only be granted as a result of a counselling and guidance process.

The maximum duration of benefit receipt is one year. Persons over 59 years or after occupational rehabilitation may apply for a second and third year.

9. Lone-parent benefits

See section 10.1.1.2.

10. Tax system

Income concept: apart from 12 current monthly payments, Austrian employees usually receive two bonuses of the same amount. Whereas current payments are taxed according to the income tax schedule, there is a special favourable schedule for non-current payments (13th and 14th salary).

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- Work related expenses: a minimum allowance of EUR 132 is available to all employees.
- Minimum allowance for special expenses EUR 60
- Social security contributions and connected contributions.
- Children allowance of EUR 220 for one or EUR 132 for both parents per child. The parents have the choice between these opportunities.
- Deductibility of cost for child care (up to EUR 2.300 p.a. per child) and tax-free payments (up to EUR 500 p.a.) from employers to their employees for child care.

10.1.1.2 Standard tax credits

- Employee's tax credit of EUR 54. In the overall tax calculation, negative tax is possible where the amount paid to the taxpayer would equal the gross tax minus tax credits but is limited to 10 per cent of social security contributions to a maximum of EUR 110.
- Traffic (commuting) tax credit EUR 291.
- Sole earner's and sole parent's tax credit for families with children. The sole earner's credit is not given when a spouse's income exceeds EUR 6 000. This tax credit is EUR 494 for one child and increases by EUR 175 for the second and by EUR 220 for the third and every additional child. This tax credit is non-wastable and can be paid out as a negative income tax (in addition to the negative tax permitted in respect of the Employee's tax credit).
- Children's tax credit EUR 700.8 per child.

Notes on Negative Credits:

The formula for calculating the final "Net tax on current income" is: first, intermediate tax on current income (ITCI) is calculated as Gross Tax on current income minus some credits (general tax credit, sole earner's credit, wage earner's credit and wage earner's traffic credits). Then:

- If $ITCI > 0$, Net tax on current income is equal to ITCI.
- If $ITCI < 0$, Net tax on current income is the maximum of:
 - ITCI.
 - $-0.1 * \text{Employee's SSC} - (\text{Sole earner's tax credit if there are children})$.
 - $-110 - (\text{Sole earner's tax credit if there are children})$.

10.1.2 Income tax schedule

The new tax schedule has a zero-zone up to EUR 11 000 and shows tax formulas for three tax brackets. The effective marginal tax rates resulting from these formulas are:

Income (EUR) up to	Marginal rate %
11 000	0
25 000	36.5
60 000	43.21429
Above	50

There is a special taxation other than the normal tax schedule for Christmas and leave bonus to the extent that their sum does not exceed two average monthly payments (1/6 of current income). If these bonuses before deduction of SSC are below EUR 2 100 p.a., no tax is calculated. Otherwise the tax amount is calculated according to the following formula:

Income from Christmas and leave bonus (EUR) up to	Marginal rate %
620	0
25 000	6
50 000	27
83 333	37.5
Above	50

In case of bonuses up to EUR 25 000 the tax amount is 30% of the bonus (net of SSC) exceeding EUR 2 000 instead of the formula above, if this results to a lower tax amount.

10.2 Treatment of family income

The tax unit is the individual.

10.3 Social security contribution schedule

Employee and Employer Social Security Contributions

	Ceilings (EUR)		Rates (%)	
	Regular wage per month	Christmas and leave bonus	Employee ⁽²⁾	Employer ⁽³⁾
Health insurance	4530	9060	3.95	3.70
Unemployment insurance	4530	9060	⁽⁴⁾	3.00
Pension insurance	4530	9060	10.25	12.55
Accident insurance	4530	9060	--	1.40
Contribution to the labour chamber	4530	9060	0.50	--
Contribution for the promotion of residential building	4530	9060	0.50	0.50
Addition to secure wage payments in the case of bankruptcy	4530	9060	--	0.55

1. No contributions on Christmas and leave bonus. In Revenue Statistics, the contribution to the labour chamber is accounted under Taxes on Income of Individuals (1110), the total of the contribution for the promotion of residential buildings is included in Taxes on payroll (3000).
2. There is a threshold for employee contributions of EUR 395.31 per month.
3. A new program has been introduced as of January 1, 2004 for severance payments. Employers are required to pay 1.53 per cent of gross wages to the Social Health Security Fund ("Krankenkassen") for those whose

employment starts after January 1, 2003 or where the employer and employee opt to participate in the new program. This contribution is seen as a non-tax compulsory wage-related payment.

4. Mid 2008, the employees' unemployment insurance rate was reduced for low earnings. In 2014, it is zero for monthly earnings up to EUR 1 246, 1% up to EUR 1 359, 2% up to EUR 1 530 and 3% above.

10.4. Payroll taxes

There are two payroll taxes which are levied on employers for all private sector employees with a monthly gross wage total of more than EUR 1 095: the contribution to the Family Burden Equalisation Fund (4.5 per cent) and the Community Tax (3 per cent). The wage-dependant part of the contribution to the Entrepreneurs' Chamber (listed under heading 1000, taxes on profits, in the *Revenue Statistics*) which is levied, together with the contributions to the Family Burden Equalisation Fund, at different rates depending upon the Länder Chamber (the average rate is approximately 0.4 per cent) is not taken into account. The contribution for the promotion of residential buildings (listed under heading 3000, taxes on payroll, in *Revenue Statistics*) is included in the social security contributions shown above as it is levied by the Health Insurance Companies on monthly income (current) along with the other social security contribution amounts.

11. Part-time work

11.1 Special benefit rules for part-time work

None.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes introduced from 1 July 2013 – 1 July 2014

Expansion of child-day-care

In 2014, it was decided to speed up the expansion of childcare facilities. Therefore the Federal government is investing an additional amount of EUR 305 million from 2014 to 2017. This aims to reach the Barcelona targets in each age-group and each Federal state as well as meeting the higher local demand in big cities. The improvement of child care-quality and the extension of opening hours is also targeted by this measure.

Changes in the area of family allowance

As of September 2013, an option allowing the direct transfer of the monthly family allowance to the bank account of the child (if no longer a minor) was established.

ANNEX A

Wohnbeihilfe

Calculation of the “Allgemeine Wohnbeihilfe”

(in privately rented, non-subsidised built or renovated houses)

“Anrechenbarer Wohnungsaufwand“ (countable housing expenditure):

This means the legally permitted rent laid down in the lease contract;

- in case of a tenancy for an indefinite period and Category A flats - EUR 4.91 per m² at maximum,
- in case of a tenancy for a definite period and Category B flats - EUR 3.68 per m² at maximum,
- **in case of Category C+D flats - EUR 2.46 per m² at maximum.**

“Zumutbarer Wohnungsaufwand“ (reasonable housing expenditure):

The reasonable housing expenditure is calculated by EUR 1.62 per m².

The difference between “Anrechenbarer Wohnungsaufwand” (countable housing expenditure) and “Zumutbarer Wohnungsaufwand” (reasonable housing expenditure) is paid as “Wohnbeihilfe”.